

6-1b Horizontal and Vertical FDI

FDI can be horizontal or vertical. Recall the value chain from Chapter 4, whereby firms perform value-adding activities stage-by-stage in a vertical fashion, from upstream to downstream. When a firm *duplicates* its home country-based activities at the same value-chain stage in a host country through FDI, we call this

horizontal FDI (A type of FDI in which a firm duplicates its home country-based activities at the same value chain stage in a host country.)

(see Figure 6.1). For example, BMW makes cars in Germany. Through horizontal FDI, it does the same thing in the United States. Overall, horizontal FDI refers to producing the same products or offering the same services in a host country as firms do at home.

Figure 6.1

Horizontal FDI



If a firm through FDI moves upstream or downstream in different value-chain stages in a host country, we label this

vertical FDI (A type of FDI in which a firm moves upstream or downstream at different value chain stages in a host country.)

(Figure 6.2). For instance, if BMW (hypothetically) only assembles cars and does not manufacture components in Germany, but in Indonesia it enters into components manufacturing through FDI (an upstream activity), this would be

upstream vertical FDI (A type of vertical FDI in which a firm engages in an upstream stage of the value chain in a host country.)

. Likewise, if BMW does not engage in car distribution in Germany but invests in car dealerships in Egypt (a downstream activity), it would be

downstream vertical FDI (A type of vertical FDI in which a firm engages in a downstream stage of the value chain in a host country.)

Figure 6.2

Vertical FDI

 Vertical FDI

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